

HUMAN RESOURCES POLICY DOCUMENT

RESIGNATION & TERMINATION POLICY

[Notice Period](#) | [Exit Process](#) | [Final Settlement](#) | [Asset Return](#)

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1. Introduction and Purpose

The separation of an employee from an organization — whether through voluntary resignation or employer-initiated termination — is one of the most consequential processes in the employment lifecycle. It affects not only the individual employee but also their team, the broader organization, and in some cases, the organization's external reputation. How an organization handles separations reveals the depth of its commitment to fairness, respect, and professionalism.

This Resignation and Termination Policy establishes a comprehensive, end-to-end framework governing all aspects of employee separation. It covers the procedures for submitting and accepting resignations, the rules governing notice periods, the detailed exit process, the calculation and disbursement of final settlement amounts, the return of company assets and intellectual property, and the obligations of both parties after separation.

The policy is designed to ensure that every separation — regardless of the reason, the seniority of the employee, or the circumstances involved — is handled with consistency, dignity, and legal compliance. It serves as a practical guide for employees who are leaving, for managers managing departing employees, and for the HR and Finance teams who administer the separation process.

1.1 Objectives of This Policy

- To establish a standardized, transparent process for all types of employee separations.
- To ensure that the organization and the departing employee both understand their rights and obligations during the notice period.
- To define the steps involved in the exit process so that knowledge transfer, access revocation, and compliance are managed efficiently.
- To ensure that final settlements are calculated accurately and disbursed in a timely and legally compliant manner.
- To protect the organization's assets, confidential information, and intellectual property through a structured asset-return and post-employment obligation process.
- To gather meaningful feedback from departing employees to support continuous organizational improvement.
- To minimize the risk of employment disputes, wrongful dismissal claims, and data security breaches in connection with separations.
- To ensure compliance with all applicable labor laws, including statutory notice requirements, gratuity obligations, provident fund compliance, and leave encashment rules.

1.2 Types of Separation Covered

Separation Type	Initiated By	Typical Circumstances
Voluntary Resignation	Employee	Personal choice, better opportunity, relocation, retirement
Mutual Separation	Both Parties	Agreed departure on negotiated terms
Retrenchment/Layoff	Employer	Business restructuring, redundancy, financial constraints
Dismissal for Cause	Employer	Misconduct, persistent performance failure (see Disciplinary Policy)
End of Contract	Contract Expiry	Fixed-term contract reaching its natural end
Retirement	Employee/Policy	Reaching retirement age or choosing early retirement
Death in Service	Circumstance	Passing of employee while in employment
Abandonment of Employment	Circumstance	Employee ceases to report to work without communication

2. Voluntary Resignation

A voluntary resignation occurs when an employee makes a free, unconditional decision to end their employment with the organization. It is the most common form of separation and must be handled with care to ensure a smooth handover, protect the organization's interests, and maintain a positive relationship with the departing employee.

2.1 How to Submit a Resignation

An employee wishing to resign must follow these steps:

2.1.1 Written Resignation Letter

The resignation must be submitted in writing. Verbal resignations are not accepted as formal resignations and do not trigger the notice period or exit process. The resignation letter must be addressed to the employee's direct manager and a copy sent to HR. The letter should include:

- The employee's full name, employee ID, designation, and department.

- The formal date of the resignation (i.e., the date on which the letter is submitted, not the intended last working day).
- The intended last working day, calculated based on the applicable notice period.
- A brief, professional statement of resignation (detailed reasons are optional but appreciated for exit interview purposes).
- Signature of the employee and date.

Email resignation is accepted as a written resignation, provided it is sent from the employee's official work email account to the manager and HR. Resignations submitted via instant messaging (WhatsApp, Slack, etc.) or verbally will not be treated as formal resignations until confirmed in writing.

Real-World Example:

An employee, Meera, decides to resign after receiving a better offer. She emails her resignation letter from her official company email to her manager and cc's HR. The letter states: 'I hereby tender my resignation from the position of Senior Analyst, effective [date], with my last working day being [date 60 days hence] as per my employment contract.' HR acknowledges receipt within 24 hours, and the notice period begins from the resignation date.

2.1.2 Acceptance of Resignation

Upon receipt of a resignation letter, the manager must acknowledge it within 2 working days and forward it to HR. HR issues a formal Acceptance of Resignation letter within 5 working days, which:

- Confirms the receipt and acceptance of the resignation.
- Confirms the employee's last working day based on the applicable notice period.
- Provides instructions for the exit process, including handover, exit interview, and clearance requirements.
- Confirms the employee's entitlement to final settlement and the expected payment timeline.

2.2 Withdrawal of Resignation

An employee may request to withdraw their resignation before it becomes effective (i.e., before the last working day). Withdrawal is not an automatic right — it is subject to management's approval, taking into account whether a replacement has been sought or hired, whether the employee's role has been otherwise filled, and whether withdrawal is in the best interests of the organization. The withdrawal request must be made in writing. If approved, HR will issue a written confirmation of the withdrawal and the employee will continue in service as before.

Real-World Example:

Sanjay resigns on January 10 with a last working day of February 9. On January 25, he requests to withdraw his resignation as his personal circumstances changed. His manager reviews the situation — the team is mid-project, no replacement has been hired, and Sanjay is a key contributor. Management approves the withdrawal, and HR issues a letter confirming Sanjay continues in service. His resignation letter and withdrawal are both placed on file.

2.3 Constructive Resignation

A constructive resignation occurs when an employee resigns because the employer has breached a fundamental term of the employment contract or created conditions so intolerable that the employee feels compelled to leave. Examples include sudden, unauthorized reduction in salary, demotion without cause, severe harassment that was not addressed, or repeated denial of legally entitled leave. In such cases, the employee may have grounds to claim constructive dismissal through appropriate legal channels, and the resignation may be treated as employer-initiated termination for compensation purposes. HR must be alert to situations where employees cite intolerable working conditions in their resignation letters and investigate accordingly.

3. Notice Period

The notice period is the period of time between an employee's submission of their resignation (or the employer's notice of termination) and the employee's actual last working day. It serves the critical functions of enabling knowledge transfer, allowing the organization time to recruit a replacement, giving the employee time to transition, and ensuring legal compliance with statutory notice requirements.

3.1 Standard Notice Periods

Notice periods are specified in each employee's employment contract and vary based on seniority, role, and department. The standard notice periods applicable at the organization are as follows:

Employee Category	Notice Period (Resignation)	Notice Period (Termination)
Probationary Employees (0–6 months)	15 calendar days	15 calendar days

Employee Category	Notice Period (Resignation)	Notice Period (Termination)
Junior / Entry-Level (Grade 1–3)	30 calendar days	30 calendar days
Mid-Level Employees (Grade 4–6)	60 calendar days	60 calendar days
Senior Employees (Grade 7–9)	90 calendar days	90 calendar days
Leadership / Management (Grade 10+)	90–180 calendar days	90–180 calendar days

Note: The employment contract is the primary reference for notice period. Where the contract specifies a different notice period than the above, the contract prevails. In no case will the notice period be less than the statutory minimum prescribed under applicable labor law.

3.2 Notice Period Buy-Out (Early Release)

An employee may request early release from their notice period (i.e., a shorter notice period than contracted). An employer may also, in its discretion, release an employee early. Early release may be approved at the discretion of the department head and HR, taking into consideration the operational impact of the early release and whether a suitable handover can be completed.

Where early release is granted, the employee is required to pay the company an amount equal to their basic salary for the remaining notice period ('Notice Pay in Lieu'). For example, if an employee with a 60-day notice period is released on day 30, they would pay 30 days' basic salary to the company. This is typically deducted from the employee's final settlement rather than paid upfront.

3.3 Notice Period Waiver by Employer

In some cases — particularly following a dismissal for gross misconduct or when an employee has been placed on garden leave — the employer may waive the notice period entirely and ask the employee to leave immediately, compensating the employee with payment in lieu of notice (PILON). PILON is calculated at the employee's current basic salary for the waived notice period and is included in the final settlement.

3.4 Garden Leave

Garden leave refers to a situation where an employee is required to serve out their notice period at home (i.e., not come to the office) while remaining on the payroll. This is typically used when the employee holds a sensitive position, has access to confidential information, or is moving to a direct competitor. During garden leave, the employee continues to receive their full salary and benefits, is bound by all terms of their employment contract (including confidentiality and non-compete obligations), is not permitted to start work for a new employer, and is expected to be available to assist with handover queries if contacted.

Real-World Example:

Ananya, the Head of Business Development, resigns to join a direct competitor. She has a 90-day notice period. Given the highly sensitive client and strategy information she holds, the company places her on 90 days of garden leave. She receives her full salary and benefits for the 90 days but is not required to come to the office. She is asked to hand over her client files on Day 1. After 90 days, her employment ends and she may join her new employer.

3.5 Notice Period During Disciplinary Proceedings

If an employee resigns while a disciplinary investigation or proceeding is underway, the notice period continues to run, and the disciplinary process may proceed concurrently. The outcome of the disciplinary process may affect the final settlement (e.g., if the employee is found to have committed fraud, amounts owed to the company may be offset from the final settlement). The organization reserves the right to continue a disciplinary investigation even after the employee has left, particularly if criminal conduct is suspected.

3.6 Statutory Notice Requirements

Under the Industrial Disputes Act, 1947 (for establishments employing 100 or more workers), retrenchment requires one month's notice (or pay in lieu) and approval from the appropriate government authority. For smaller establishments and individual separations, the contractual notice period applies, subject to state-level Shops and Establishments Act provisions which may specify minimum notice periods. HR must ensure compliance with all applicable statutory requirements before any separation is finalized.

4. Employer-Initiated Termination

Employer-initiated termination encompasses all situations where the organization ends an employee's employment. The specific process varies depending on the reason for termination.

4.1 Termination for Cause (Disciplinary Dismissal)

Termination for cause occurs following a fair disciplinary process (refer to the Disciplinary Actions Policy, HR-DA-001, for the detailed procedure). In brief, it involves a formal investigation, a charge sheet or show-cause notice, a disciplinary hearing, and a written decision. The employee's right to appeal must be communicated in the termination letter. Termination for cause generally does not entitle the employee to a notice period or payment in lieu of notice. However, all other statutory entitlements (including provident fund contributions, gratuity if eligible, and accrued earned leave) must still be paid.

4.2 Termination Without Cause (Retrenchment / Redundancy)

Retrenchment (in India) or redundancy (in other jurisdictions) occurs when an employee's role is eliminated due to organizational restructuring, business downturn, technology replacement, outsourcing, or closure of a business unit. Retrenchment is not a reflection of the employee's performance or conduct — it is a business decision.

4.2.1 Legal Requirements for Retrenchment

- The employee must have completed at least one year of continuous service to be eligible for statutory retrenchment compensation (under the Industrial Disputes Act, 1947).
- Retrenchment compensation is payable at the rate of 15 days' average pay for every completed year of service (or part thereof exceeding 6 months).
- For establishments with 100 or more workers, prior permission from the appropriate government authority is required.
- The employee must be given one month's notice or payment in lieu of notice.
- The principle of Last In, First Out (LIFO) must generally be followed unless there are justifiable reasons for deviation.

Real-World Example:

A manufacturing company decides to automate its quality control process, making 15 quality control inspector roles redundant. The company issues retrenchment notices with 30-day notice periods (or 30 days' pay in lieu). Each inspector receives retrenchment compensation of 15 days' salary per completed year of service, accrued leave encashment, and gratuity. The company also offers a voluntary outplacement assistance program, including resume-building workshops and job placement assistance.

4.3 Termination During Probation

During the probationary period, the organization reserves the right to terminate an employee's services if they are assessed as unsuitable for the role. The notice period during probation is 15 calendar days (or as specified in the employment contract). The employee is entitled to salary for the notice period (or payment in lieu), provident fund contributions, and any accrued earned leave. Gratuity is generally not applicable as the minimum 5-year service period for gratuity would not have been met. The probationary termination letter must clearly state the reasons for non-confirmation.

4.4 End of Fixed-Term Contract

When a fixed-term employment contract reaches its stated end date and is not renewed, the separation is treated as an end-of-contract separation rather than a termination or resignation. Key points:

- No notice period is required if the contract specifies an end date, as both parties knew the contract's duration from the outset.
- The employee is entitled to all accrued statutory benefits (PF, gratuity if applicable, leave encashment).
- If the contract is renewed multiple times such that the employee has been in continuous service for 5 or more years, they may qualify for gratuity.
- The organization must inform the employee at least 30 days before the contract end date whether the contract will be renewed or not.

4.5 Abandonment of Employment

Abandonment of employment occurs when an employee fails to report to work for a continuous period of 10 or more working days without obtaining prior leave, without providing any communication, and without responding to the company's attempts to contact them. The procedure for dealing with abandonment is:

1. On Day 3 of unexplained absence, the manager attempts to contact the employee by phone and email.
2. On Day 5, HR sends a formal written notice (by email and registered post/courier to the last known address) requesting the employee to report to work within 5 working days or provide a satisfactory explanation.
3. If the employee fails to respond or report within the specified period, HR issues a final notice stating that continued absence will be treated as abandonment of employment.
4. If no response is received within a further 5 working days, the employee's file is reviewed by HR and the Department Head, and a decision is made to treat the employment as abandoned. The employee is issued an Abandonment of Employment letter.
5. The employee's final settlement is calculated and held pending the employee's return of company assets and receipt of full settlement instructions.

Real-World Example:

Rahul, an IT engineer, fails to report to work for 2 weeks and does not respond to any calls, emails, or letters. His emergency contact also reports being unable to reach him. The company follows the abandonment process and issues the relevant notices. After 21 days with no response, the company treats the employment as abandoned. His final settlement — including PF contributions and accrued leave — is processed and held with HR, pending collection of his laptop and access card.

4.6 Mutual Separation Agreement

A Mutual Separation Agreement (MSA) — also known as a Separation Agreement, Settlement Agreement, or Exit Package — is a negotiated arrangement under which both the employer and employee agree to end the employment relationship on mutually agreed terms. It is often used to avoid protracted disputes, to manage sensitive separations involving senior employees, or to incentivize employees whose roles are being made redundant to accept separation without litigation.

Key components of a Mutual Separation Agreement typically include the agreed last working day, the financial terms of separation (including any severance payment beyond statutory entitlements), the release of claims (the employee agrees not to sue the company for claims related to the employment), confidentiality obligations, restrictions on disparagement, and post-employment obligations (non-compete, non-solicitation if applicable).

MSAs must be reviewed by the Legal Department before execution. Employees are encouraged to seek independent legal advice before signing an MSA. The agreement is binding once signed by both parties.

5. The Exit Process

The exit process is the structured set of steps that a departing employee and the organization must complete between the acceptance of the resignation/termination and the employee's last working day. A well-managed exit process protects both parties, ensures continuity of operations, and maintains a respectful, professional relationship with the departing employee.

5.1 Overview of the Exit Process

Step	Activity	Owner / Timeline
1	HR acknowledges resignation and issues Exit Pack	HR — within 5 working days of resignation
2	Manager and employee agree on Handover Plan	Manager + Employee — Week 1 of notice period
3	Knowledge Transfer and Handover execution	Employee + Manager — Throughout notice period
4	Exit Interview conducted by HR	HR — 1 week before last working day
5	Clearance Form completed (multi-department)	Employee — Final 3 working days
6	Return of all company assets and documents	Employee — On or before last working day
7	Revocation of all system and physical access	IT / Admin — Last working day (end of day)
8	Final Settlement calculation and approval	Finance + HR — Within 30 days of last working day
9	Issue of Experience / Relieving Letter	HR — On or within 7 days of last working day
10	Final Settlement disbursement	Finance — Within 30–45 days of last working day

5.2 The Exit Pack

Upon acceptance of the resignation, HR provides the employee with an Exit Pack containing:

- The formal Acceptance of Resignation letter confirming the last working day.
- Exit Checklist detailing all steps to be completed before the last working day.
- Handover Plan Template.
- Exit Interview Scheduling Information.
- Clearance Form with signatures required from all relevant departments.

- Asset Return List (pre-populated with assets issued to the employee, as per HR records).
- Information on final settlement — what is included, how it is calculated, and when it will be paid.
- Post-employment obligations reminder (confidentiality, IP, non-compete if applicable).
- FAQ document for common questions about the exit process.

5.3 Knowledge Transfer and Handover

A structured, comprehensive handover is the departing employee's most important responsibility during the notice period. The quality of the handover directly impacts the team, clients, and the organization. Failure to complete an adequate handover may affect the employee's final settlement (specifically, it may result in withholding of the final settlement pending completion) or may be cited in case of any post-departure claims.

5.3.1 The Handover Plan

Within the first week of the notice period, the departing employee and their manager must jointly create and agree on a Handover Plan. The plan must document:

- A comprehensive list of all ongoing projects, tasks, and responsibilities.
- The status of each item (percentage complete, key milestones, pending actions).
- The name of the colleague or incoming resource who will take over each item.
- Key contacts (internal and external) associated with each area of work.
- Locations of key documents, files, passwords (through appropriate secure channels), and systems.
- Pending deadlines and critical dates within the next 3-6 months.
- Any known risks, issues, or dependencies that the successor needs to be aware of.

The Handover Plan is signed off by both the employee and the manager and submitted to HR by the end of the first week of the notice period.

5.3.2 Knowledge Transfer Activities

Depending on the role, the following activities may be required as part of the handover:

- Structured briefing sessions with the successor or interim cover.
- Documentation of processes, procedures, and tribal knowledge.
- Introduction of the successor to key internal and external stakeholders.
- Transfer of ownership of digital files, email folders, shared drives, and project management tools.
- Updating of all shared documentation, wikis, and knowledge bases.

- Conducting walkthroughs of complex workflows or systems.

Real-World Example:

Preethi, a Customer Success Manager, gives 60 days' notice. In the first week, she and her manager create a Handover Plan covering her 12 active client accounts, the renewal schedule for the next quarter, and the status of two ongoing implementation projects. She spends the first month documenting client-specific notes in the CRM, introducing her clients to the incoming CSM via email and call, and writing SOPs for recurring processes. By the last week, the Handover Plan is 100% complete and signed off.

5.4 Exit Interview

An exit interview is a structured conversation between HR (or an external exit interview provider) and the departing employee, conducted during the last 1–2 weeks of the notice period. The purpose is to gather candid, confidential feedback that the organization can use to improve retention, culture, management practices, compensation, and working conditions.

5.4.1 Exit Interview Format

Exit interviews may be conducted in person, over video call, or through a structured written questionnaire, depending on the employee's preference and role. The exit interview covers:

- The primary reason(s) for leaving — including whether the decision was entirely voluntary.
- The employee's experience of their manager and team.
- Their views on the organization's culture, values, and working environment.
- Their assessment of compensation, benefits, and work-life balance.
- Any concerns about workplace practices, compliance, or ethics that they are comfortable disclosing.
- Suggestions for improvement.
- The employee's experience of the exit process itself.

5.4.2 Confidentiality and Use of Exit Data

Exit interview responses are treated with confidentiality. Individual responses are not shared with the departing employee's manager without the employee's consent. Aggregated, anonymized exit data is reported to senior HR leadership quarterly to identify trends and drive organizational improvement. If an exit interview reveals a potential legal or compliance issue (e.g., harassment allegations), HR is required to investigate the matter as per the appropriate policy.

5.5 No-Dues Clearance

Before the employee's final settlement can be processed, they must obtain a No-Dues Clearance — confirmation from all relevant departments that the employee has fulfilled their obligations. The Clearance Form requires signatures or digital approvals from the following departments:

Department	What They Clear	Typical Timeline
IT Department	Return of laptop, phone, accessories; account deactivation	Last working day
Administration	Return of access card, parking pass, keys, stationery items	Last working day
Finance / Accounts	Outstanding advances, expenses, loans, credit card clearance	3 working days before last day
Library / Learning	Return of books, course materials, training equipment	1 week before last day
Direct Manager	Handover plan completion sign-off	Last working day
HR Department	Resignation letter, clearance confirmation, final HR review	Last working day

Any outstanding dues owed by the employee (e.g., advances, company credit card balances, company loan installments) will be adjusted against the final settlement before disbursement. The employee should clear all dues before the last working day to avoid delays in final settlement.

6. Final Settlement

Final settlement is the comprehensive calculation and disbursement of all financial entitlements owed to the departing employee upon separation. It is one of the most scrutinized aspects of the exit process, as errors or delays can lead to legal disputes, labor complaints, and reputational harm to the organization. Finance and HR jointly administer the final settlement process.

6.1 Components of Final Settlement

6.1.1 Salary for the Notice Period

The employee is entitled to their full salary (including all fixed allowances) for every day worked during the notice period. If the employee is released before the end of the notice period, they are entitled to Payment in Lieu of Notice (PILON) for the remaining days, unless it is a summary dismissal for gross misconduct.

6.1.2 Earned Leave Encashment

Accumulated earned leave (also called privilege leave or annual leave) that has not been utilized by the date of separation must be encashed and paid to the employee. The encashment rate is based on the employee's current basic salary (or gross salary as per applicable law or contract) divided by the number of working days in a month, multiplied by the number of days of earned leave outstanding.

Formula: Leave Encashment = (Basic Salary / 26) x Number of Unused Earned Leave Days

Under the Payment of Gratuity Act, earned leave encashment is not subject to income tax up to a maximum limit for government employees; for private sector employees, tax treatment follows the Income Tax Act provisions in effect at the time of separation.

6.1.3 Gratuity

Gratuity is a statutory lump-sum payment made to an employee upon separation after completing a minimum of 5 years of continuous service. It is governed by the Payment of Gratuity Act, 1972 (in India). The gratuity formula is:

Gratuity = (Last Drawn Basic Salary + Dearness Allowance) x 15/26 x Number of Completed Years of Service

Key points regarding gratuity:

- The minimum qualifying period is 5 years of continuous service. An exception exists for death or disablement — in these cases, gratuity is paid irrespective of the period of service.
- 'Completed year of service' means a full year of service. Service of more than 6 months in the last incomplete year is rounded up to the nearest full year.
- The maximum gratuity amount exempt from tax is as notified by the government from time to time (currently INR 20 lakhs for private sector employees).
- Gratuity forfeiture: In cases of termination for willful omission or negligence causing damage, or termination for riotous or disorderly conduct, the gratuity may be forfeited to the extent of damage caused or partially, as appropriate. Full forfeiture is permitted only in cases of misconduct involving moral turpitude or offense against the organization.

Real-World Example:

Suresh has been with the company for 7 years and 8 months, with a last drawn basic salary of INR 60,000 per month. His gratuity is calculated as: $(60,000 \times 15/26 \times 8) = \text{INR } 2,76,923$. Since 7 years and 8 months rounds up to 8 completed years (as the last partial year exceeds 6 months). This amount is below the INR 20-lakh tax exemption limit, so it is fully exempt from income tax.

6.1.4 Provident Fund (PF)

Provident Fund (PF) is a statutory retirement savings scheme under the Employees' Provident Funds and Miscellaneous Provisions Act, 1952. Both the employer and employee contribute 12% of the employee's basic salary + Dearness Allowance to the PF account each month.

Upon separation, the employee may either withdraw the PF balance (subject to eligibility conditions under the EPF scheme), transfer the PF balance to their new employer's PF account, or leave the PF balance in the account (it continues to earn interest for a period of 3 years from the date of cessation of membership).

The withdrawal process is managed by the employee directly through the EPFO portal (www.epfindia.gov.in) using their UAN (Universal Account Number). HR is required to process the employee's exit on the EPFO portal within 15 days of the last working day to enable PF withdrawal.

6.1.5 Bonus and Incentive Arrears

If the employee is eligible for a performance bonus, sales incentive, or other variable pay that has accrued but not been paid at the time of separation, the following rules apply:

- **Pro-rated bonus:** If the employee has worked for a partial bonus period, they are entitled to a pro-rated share of any bonus for which the performance criteria have been met, unless the employment contract explicitly states that the bonus is only payable if the employee is in service on the payment date.
- **Discretionary bonus:** For fully discretionary bonuses, the organization retains the right to determine whether a departing employee receives a pro-rated amount.
- **Sales incentive:** Commissions on deals closed before the last working day (regardless of when they are invoiced or paid by the client) are generally payable, unless the commission plan explicitly states otherwise.

6.1.6 Other Benefits

- **Medical reimbursement:** Outstanding medical reimbursement claims submitted before the last working day must be processed and included in the final settlement.

- Travel and expense reimbursements: All approved expense claims must be submitted and processed before the last working day.
- Notice Pay in Lieu (if employer waives notice period): Included in final settlement.
- Severance Pay (for retrenchment): As calculated under applicable law and contract.
- Any other contractual entitlements specified in the employment agreement.

6.2 Deductions from Final Settlement

The following amounts, if applicable, will be deducted from the final settlement before disbursement:

- Advance salary or salary overpayment (if employee has received salary for days not worked).
- Outstanding company loans (as per the loan repayment schedule in the loan agreement).
- Notice period buy-out amount (if the employee sought early release and agreed to pay in lieu).
- Company credit card outstanding balance.
- Cost of unreturned or damaged company assets (assessed at fair market value).
- Any other dues owed to the company, as documented and agreed upon.

Important Note:

The company will not make deductions from the final settlement that are not expressly authorized under the employment contract, applicable law, or the employee's written consent. Unauthorized deductions are illegal under the Payment of Wages Act, 1936.

6.3 Timeline for Final Settlement Payment

Separation Type	Final Settlement Payment Deadline
Voluntary Resignation	Within 30–45 working days of the last working day
Retrenchment / Layoff	On or before the last working day
Termination for Cause	Within 30 working days of the termination date
End of Fixed-Term Contract	On or before the last day of the contract
Retirement	On the retirement date
Death in Service	Within 15 days of notification and submission of documents by nominee

If the final settlement is delayed beyond the prescribed timelines due to reasons attributable to the company (e.g., payroll processing delay), the company may be liable for interest on the outstanding amount under applicable law. HR and Finance are jointly accountable for ensuring timely processing.

6.4 Final Settlement Statement

Prior to disbursement, Finance will prepare and share with the employee a Final Settlement Statement that itemizes:

- All components of the gross final settlement (salary, leave encashment, gratuity, bonus, etc.).
- All deductions made (loans, advances, notice pay deduction, etc.).
- Applicable tax deductions (TDS) as per the Income Tax Act.
- The net payable amount.
- The bank account to which the amount will be credited.

The employee is given 3 working days to review the statement and raise any queries or disputes. After the review period, the amount is disbursed.

7. Company Asset Return

The return of all company-owned assets is a critical step in the exit process. Company assets include a wide range of physical, digital, and intellectual property items that have been issued to the employee for the purpose of performing their duties. Their timely and complete return protects the organization's operations, data security, and financial interests.

7.1 Categories of Company Assets

7.1.1 Hardware and Electronic Devices

- Laptop computer, desktop computer, or workstation.
- Mobile phone (company-issued).
- Tablet or e-reader.
- External hard drives, USB storage devices, and backup drives.
- Company SIM card (if issued separately from the device).
- Peripherals: keyboard, mouse, docking station, monitor, headset, webcam.
- Any specialized equipment related to the employee's role (e.g., survey instruments, safety equipment, audio/video equipment).

7.1.2 Access Credentials and Security Items

- Physical access card (office entry, server room access, parking garage).

- Keys to office premises, cabinets, or storage areas.
- Digital certificates or hardware tokens (e.g., RSA tokens, YubiKeys) used for multi-factor authentication.
- Safe combinations or vault keys (where applicable).

7.1.3 Documents and Physical Files

- All physical company documents, reports, and files — whether originals or copies.
- Client contracts, agreements, and proposals held in physical form.
- Company stationery and branded materials.
- Business cards (both personal company cards and any client business cards collected on behalf of the company).

7.1.4 Intellectual Property and Confidential Information

- All work product, code, designs, data, reports, analyses, and other intellectual property created during the course of employment — whether stored on company devices, personal devices, cloud storage, or in printed form.
- Customer and prospect lists and contact databases.
- Company strategy documents, financial forecasts, and business plans.
- All confidential information in any format must be returned or securely deleted from personal devices. Retention of company IP after separation is a breach of the employment contract and applicable IP laws.

7.1.5 Miscellaneous Items

- Company vehicle (if assigned) — to be returned with a full tank of fuel.
- Company credit card — to be returned and all outstanding balances settled.
- Corporate travel card, petty cash, or imprest account balance.
- Uniforms, workwear, or personal protective equipment.
- Any other company property as listed on the asset register maintained by IT and Administration.

7.2 Asset Return Process

6. Before the last working day, HR sends the employee their personal Asset Return List (generated from the company's asset register) identifying all items to be returned.
7. The employee arranges to return all items to the IT Department (for devices) and Administration Department (for physical access items) no later than the last working day.
8. Each returned item is inspected by the receiving department, verified against the asset register, and a receipt is issued to the employee.
9. If any item is missing, damaged (beyond normal wear and tear), or has been wiped incorrectly, IT or Administration notes this in the clearance form and HR is informed.

10. The cost of missing or damaged items is assessed at fair market value and deducted from the final settlement after written notification to the employee.
11. Once all assets are returned and verified, the employee receives their Asset Clearance confirmation.

7.3 Data and Device Handling

For employees returning laptops, phones, and other digital devices, the IT Department follows a strict data handling protocol:

- Before the device is returned by the employee, IT remotely locks the device and initiates a backup of any work-related data from the device to the company's secure servers.
- After backup, the device undergoes a certified factory reset and data wipe to protect the employee's personal data.
- The employee must certify (in writing) that they have deleted all company data from any personal devices on which it was stored (e.g., personal phone used for work email, home computer used for remote work).
- Company email and system access is revoked at end-of-day on the employee's last working day (or immediately upon suspension in cases of disciplinary termination).

Real-World Example:

Karan, a software engineer, is returning his company-issued MacBook Pro, iPhone, and YubiKey on his last day. IT checks the serial numbers against the asset register, initiates a remote backup of the code repository and project files, then performs a factory reset in the employee's presence. Karan signs the Asset Return Receipt. IT also provides Karan with a confirmation email confirming the data wipe. His No-Dues Clearance from IT is granted, enabling HR to process his final settlement.

7.4 Consequences of Non-Return of Assets

Failure to return company assets by the last working day may result in:

- Delay in processing the No-Dues Clearance and consequently the final settlement.
- Deduction of the assessed value of unreturned assets from the final settlement.
- Legal action for recovery of the asset or its value, if the settlement is insufficient to cover the cost.
- Reporting to law enforcement if there is reason to believe the retention is deliberate or constitutes theft.

8. Post-Employment Obligations

Separation from the organization does not extinguish all obligations. Depending on the employee's role and the terms of their employment contract, certain obligations continue after the last working day.

8.1 Confidentiality and Non-Disclosure

All employees are bound by confidentiality obligations that survive the termination of employment. These obligations were established in the employment contract and/or the Non-Disclosure Agreement (NDA) signed at the time of joining. Post-employment, the employee:

- Must not disclose any trade secrets, client information, proprietary processes, financial data, or other confidential information of the company to any third party.
- Must not use confidential company information for the benefit of a new employer or any other purpose.
- Confidentiality obligations are perpetual with respect to trade secrets and generally last 2–3 years for other categories of confidential information, or as specified in the NDA.

8.2 Intellectual Property Assignment

All intellectual property created by the employee during the course of their employment (and in many cases, during a reasonable period after employment in related fields) belongs to the company. Post-employment, the employee must:

- Not claim ownership of any work product created during employment.
- Cooperate with the company to perfect IP assignments, sign patents, or provide information as required.
- Not publish, reproduce, or commercialize any company IP.

8.3 Non-Compete Clause

Depending on the employee's role, level of seniority, and access to confidential information, the employment contract may contain a post-employment non-compete clause. This clause restricts the employee from:

- Joining a direct competitor of the company within a specified period (typically 6-12 months) after separation.
- Starting a competing business within the same period.

Important: Non-compete clauses in employment contracts are generally not enforceable in India under Section 27 of the Indian Contract Act, 1872, which renders restraint of trade void. However,

they may be enforceable during the notice period (when the employee is still employed) and in some jurisdictions, they may be partially enforceable in specific limited circumstances. Employees should seek legal advice if they receive a non-compete clause enforcement demand. The company's Legal Department will advise management on enforceability before taking any action on non-compete violations.

8.4 Non-Solicitation of Employees and Clients

Post-employment non-solicitation clauses — prohibiting the departing employee from soliciting the company's employees or clients for a period after separation — are generally more likely to be upheld by courts than blanket non-compete clauses. The employment contract may restrict the employee from:

- Soliciting or inducing the company's employees to leave and join the new employer (typically for 6-12 months after separation).
- Soliciting the company's clients or prospects with whom the employee had contact during the last 12 months of employment (typically for 6-12 months after separation).

8.5 Reference and Background Check Policy

The company will provide factual, accurate employment references for former employees. The standard reference provided by HR will confirm the employee's dates of employment, job title, and final designation. HR will not provide substantive assessments of performance or conduct unless the employee explicitly consents in writing. If an employee was terminated for cause (particularly involving dishonesty or fraud), HR will not provide positive references and will provide only factual information. The company will not provide misleading or inaccurate references.

9. Relieving Letter and Experience Certificate

Upon successful completion of the exit process (including clearance from all departments and return of assets), the company issues the following documents to the departing employee:

9.1 Relieving Letter

The Relieving Letter is an official document issued by HR that formally acknowledges the employee's separation from the organization. It confirms the employee's last working day, that the employee has been formally relieved of their duties, and that the organization has no further claims against the employee (subject to final settlement completion). The Relieving Letter is typically required by the new employer as proof that the employee has been properly separated from the previous organization.

The Relieving Letter is issued on the last working day or within 3 working days thereof, provided all clearances have been obtained.

9.2 Experience Certificate

The Experience Certificate (also known as a Service Certificate or Employment Certificate) is a document confirming the employee's tenure and role at the organization. It typically includes:

- Employee's full name.
- Period of employment (joining date and last working day).
- Designation at the time of separation.
- Department.
- A general statement that the employee served the organization during the mentioned period.

The Experience Certificate does not include performance evaluations, salary details, or reasons for separation, unless the employee specifically requests a detailed character and performance reference (which is subject to the Reference Policy above).

9.3 Form 16 (Tax Certificate)

The company is required to issue Form 16 under the Income Tax Act to every employee from whom TDS has been deducted during the financial year. This includes the financial year in which the separation occurs. Form 16 is typically issued by May 31 of the year following the financial year in which the separation occurred. If an employee requires early issuance (e.g., to file taxes before the deadline), HR/Finance will endeavor to accommodate the request.

10. Special Situations

10.1 Death in Service

The death of an employee while in service is handled with the utmost compassion, sensitivity, and urgency. Upon receiving confirmation of an employee's passing, HR immediately:

12. Notifies the HR Head and the employee's immediate manager.
13. Initiates bereavement support for the employee's team and offers Employee Assistance Program (EAP) resources.
14. Contacts the employee's nominated next-of-kin or nominee as recorded in HR files.
15. Informs Finance to halt salary processing and calculate all entitlements payable to the nominee.
16. Facilitates the settlement of all financial dues — including outstanding salary, leave encashment, provident fund, gratuity (regardless of service period), and any life insurance benefit under the company's group life insurance policy.
17. Collects company assets from the next of kin with appropriate sensitivity and waives recovery for minor consumable items.
18. Prepares a condolence letter from senior management for the family.

The company's group life insurance policy provides a benefit equal to a specified multiple of the employee's annual salary (as defined in the policy), which is paid to the nominee separately from the final settlement.

10.2 Retirement

The retirement age at the organization is as specified in the employment contract or the organization's Retirement Policy (typically 58-60 years for private sector organizations in India). The retirement process begins 6 months before the employee's retirement date, when HR:

- Issues a formal notice to the employee confirming the retirement date.
- Begins the handover planning process.
- Initiates the calculation of all retirement-related entitlements.
- Explores whether the organization wishes to retain the employee in a consulting or advisory capacity post-retirement.

The final settlement for retirement includes all salary arrears, leave encashment, full gratuity (irrespective of whether the employee was dismissed or resigned), and provident fund. A formal retirement function is organized by HR to honor the employee's service.

10.3 Layoff Due to Business Closure or Restructuring

In the event of a large-scale layoff or business closure, the organization will develop a specific Retrenchment Plan in consultation with Legal and Senior Management. The plan will address: communication strategy (including how and when affected employees are informed), the selection process (criteria for determining which roles are made redundant), the support package offered (enhanced severance beyond statutory minimum), outplacement assistance, and reference support. All affected employees will receive individual meetings with HR to discuss their specific situation, entitlements, and support options.

10.4 Resignation During Pregnancy or Parental Leave

An employee may choose to resign while on maternity, paternity, or adoption leave. The resignation is accepted and processed according to this policy. However, the organization will ensure that:

- The employee is aware of all their statutory maternity/paternity entitlements before the resignation is finalized.
- The employee has access to HR to discuss their options and is not pressured to resign.
- The employee's Maternity Benefit under the Maternity Benefit Act, 1961 (if applicable) is paid in full for the period already served on maternity leave.
- Any allegation that the resignation was coerced is investigated as per the grievance and/or POSH policy.

11. Rehire Policy

Former employees who left the organization in good standing (i.e., voluntarily resigned without disciplinary issues, or were retrenched through no fault of their own) may be considered for rehire. The organization views rehire of former employees — often referred to as 'boomerang employees' — positively, as such individuals bring a combination of institutional knowledge and new external experience.

11.1 Eligibility for Rehire

- The employee must have left the organization with a clean disciplinary record.
- The employee must have completed the full notice period or obtained a mutual early release.
- The employee must have returned all company assets and settled all dues.
- At least 6 months must have elapsed since the employee's last working day (unless HR and the hiring manager make an exception for critical roles).

11.2 Rehire Process

Rehire applications are treated as new applications and follow the standard recruitment process. However, the prior service record, institutional knowledge, and cultural fit of the candidate are considered as positive factors. Upon rehire, the employee's service length, PF account, and gratuity begin fresh from the new joining date (prior service is not counted for statutory purposes unless a specific agreement is made).

12. Frequently Asked Questions

Q: Can I take accrued compensatory-off (comp-off) during my notice period?

A: Yes, subject to your manager's approval. However, if comp-off days are approved during the notice period, they count toward serving the notice period (i.e., they do not extend the notice period). If comp-off cannot be availed during the notice period, the balance will be encashed in the final settlement as per the organization's comp-off encashment rate.

Q: My new employer wants me to join earlier than my notice period end date. What should I do?

A: You may request early release from your manager and HR. If approved, you will be required to pay notice buy-out (typically one month's basic salary for each month of notice waived). This will be deducted from your final settlement. If early release is not approved, you must serve your full notice period as per your contract.

Q: I resigned but my manager has not yet accepted my resignation. Does my notice period start?

A: Yes. Your notice period begins on the date you formally submit your resignation, not on the date your manager accepts it. The acceptance of resignation is an administrative formality; it does not affect the commencement of the notice period. If you do not receive an acknowledgement within 5 working days, contact HR directly.

Q: What happens to my health insurance coverage after my last working day?

A: Company-sponsored group health insurance coverage typically ends on the last working day. You should arrange alternative health coverage before your last working day. Some insurers may offer portability options that allow you to transfer your coverage to an individual policy without a fresh waiting period — consult HR for details of the specific insurer and portability options.

Q: I was retrenched. Am I eligible for gratuity?

A: Yes, if you have completed 5 or more years of continuous service. Retrenchment is not your fault, and all statutory entitlements including gratuity are fully payable. If you have completed less than 5 years, gratuity is not applicable under the Payment of Gratuity Act, though your retrenchment compensation (15 days' salary per year of service) and other dues remain fully payable.

Q: How long does it take to receive my final settlement after my last working day?

A: For voluntary resignations, final settlement is typically processed and paid within 30-45 working days of your last working day, provided all clearances are completed and no dues are outstanding. If there are disputes or delays in clearance, this timeline may extend. You may follow up with HR and Finance if payment is not received within 45 working days.

Q: Will my company disclose my disciplinary record to my new employer if they call for a background check?

A: HR will only confirm factual employment details: dates of service, designation, and department. In cases of termination for gross misconduct (particularly dishonesty, fraud, or harassment), HR will state that the employment was terminated, but will not volunteer the specific reason unless required by law or compelled by court order. However, HR will never provide a falsely positive reference that misrepresents a terminated-for-cause separation as a voluntary resignation.

Q: I forgot to take my personal belongings from the office. Can I come back?

A: You may collect personal belongings within 7 working days of your last working day, by prior appointment with Administration. You must be accompanied by a company representative during the collection. After 7 working days, uncollected personal items will be packed and held for 30 days, after which they will be disposed of if not claimed.

Q: Can I use the company as a reference for my job search?

A: Yes. HR provides a factual employment reference confirming dates, designation, and tenure. For a detailed reference, you may request your manager to provide a personal reference, subject to their consent. Provide the prospective employer with HR's contact details (hr@company.com) for reference checks.

13. Compliance and Legal Framework

This policy is designed to comply with all applicable employment and labor laws in India. The key legislations governing the matters covered in this policy include:

- Industrial Disputes Act, 1947 — Governs retrenchment, layoffs, and closure of undertakings.
- Industrial Employment (Standing Orders) Act, 1946 — Requires certified standing orders governing conditions of service.
- Payment of Gratuity Act, 1972 — Mandates gratuity for employees with 5+ years of service.
- Employees' Provident Funds and Miscellaneous Provisions Act, 1952 — Governs PF contributions and withdrawal.
- Payment of Wages Act, 1936 — Regulates deductions from wages and timely payment.
- Maternity Benefit Act, 1961 — Protects rights of pregnant employees and new mothers.
- Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 — POSH compliance for exit processes.
- Shops and Establishments Acts of applicable states — Governs working conditions and notice periods for shops and commercial establishments.
- Income Tax Act, 1961 — Governs TDS deductions, Form 16 issuance, and tax treatment of separation payments.

For organizations operating internationally, jurisdiction-specific addenda to this policy will be maintained by HR and Legal, reflecting local employment law requirements.

14. Policy Review and Amendments

This policy will be reviewed annually by the HR Department, in consultation with the Legal Department and Senior Management. Revisions may also be triggered by changes in applicable employment law, organizational restructuring, or significant changes in workforce composition. Material changes will be communicated to all employees with at least 30 days' advance notice. The current version supersedes all previous versions of this policy.

Appendix A: Exit Checklist for Employees

- Submit formal resignation letter to manager and HR.
- Receive Acceptance of Resignation letter from HR.
- Agree on Handover Plan with manager within first week.
- Complete knowledge transfer activities.
- Schedule and attend exit interview with HR.
- Complete No-Dues Clearance from all departments.
- Return all company assets as per Asset Return List.
- Clear all financial dues (loans, advances, credit card).
- Delete all company data from personal devices.
- Receive Relieving Letter and Experience Certificate from HR.
- Confirm bank account details with Finance for final settlement payment.
- Review and confirm Final Settlement Statement.
- Receive Form 16 from Finance (by May 31 of the following fiscal year).

Appendix B: Final Settlement Calculation Template

Settlement Component	Gross Amount (INR)	TDS Deducted
Salary for days worked in final month		
Notice Period Pay / PILON (if applicable)		
Earned Leave Encashment		
Gratuity (if 5+ years of service)		
Provident Fund — Employer Contribution (transfer or withdrawal)		
Pro-Rated Bonus / Incentive (if applicable)		
Pending Expense Reimbursements		
Retrenchment Compensation (if applicable)		
Other Entitlements (as per contract)		
TOTAL GROSS SETTLEMENT		
Less: Outstanding Loan / Advance		
Less: Notice Buy-Out (if early release)		
Less: Unreturned Asset Value		

Settlement Component	Gross Amount (INR)	TDS Deducted
Less: Credit Card Outstanding		
TOTAL DEDUCTIONS		
NET PAYABLE TO EMPLOYEE		

Appendix C: Key Forms and Templates

- HR-RES-001 — Resignation Letter Template
- HR-RES-002 — Resignation Acceptance Letter
- HR-EXIT-003 — Exit Pack Checklist
- HR-EXIT-004 — Handover Plan Template
- HR-EXIT-005 — Exit Interview Form
- HR-EXIT-006 — No-Dues Clearance Form
- HR-EXIT-007 — Asset Return Acknowledgement
- HR-EXIT-008 — Relieving Letter Template
- HR-EXIT-009 — Experience Certificate Template
- HR-FIN-010 — Final Settlement Calculation Sheet
- HR-FIN-011 — Final Settlement Statement (Employee Copy)
- HR-TER-012 — Termination Letter Template
- HR-RET-013 — Retrenchment Notice Template

— END OF POLICY DOCUMENT —

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